



EcoFlash

Elections in Hungary: a strong mandate to tackle economic challenges

In Hungary, Péter Magyar's pro-European centre-right party won a landslide victory in the general election held on 12 April. According to the latest official estimates, Tisza is reported to have secured a supermajority, which would give it significant room for manoeuvre to drive through institutional reforms. The new government will nevertheless face several challenges, including the release of European funds essential for revitalising the economy, and the consolidation of public finances. Meanwhile, the partnership with China in the field of electric mobility remains a priority.

A supermajority for Péter Magyar's new government?

In the general election held on 12 April, Péter Magyar, the leader of Tisza – a centre-right, pro-European party– won a landslide victory. According to the latest figures, he is reported to have secured 137 of the 199 seats in Parliament¹. These elections bring to an end the 16-year rule of Viktor Orbán's government², led by Fidesz. The Fidesz-KDNP alliance, which came in second with 56 seats, is followed at a considerable distance by Mi Hazánk, the far-right party, which holds six seats. The record voter turnout of 79.6% (compared to 69.6% in 2022) reflects the high stakes of the election. The new government is expected to take office within a month for a four-year term.

This is the ideal scenario for Péter Magyar's future government. Viktor Orbán conceded defeat on election night, thereby removing any uncertainty regarding the outcome of the vote. Currently, all indications point to Tisza having secured a supermajority in Parliament. If this is confirmed next Saturday, this comfortable majority will mark a decisive turning point for Hungary. A supermajority is, in fact, essential for any constitutional change and gives the future government the necessary leeway to implement economic and institutional reforms. It is worth noting that Hungary currently ranks at the lowest position among Central European countries in terms of governance³.

Significant yet manageable economic challenges

- **Towards a gradual release of European funds.** On the economic front, Tisza's decisive victory and its future commitment to institutional reforms should pave the way, in the coming months, for the release of European funds (EUR19 billion, or around 8.8% of GDP).
- **A tight schedule.** The transfer of European funds, particularly those linked to recovery and resilience (EUR 10.4 billion allocated, 4.8% of GDP), must be completed by 31 December 2026, with all milestones needing to be met by 31 August 2026. To date, 91.3% of the funds earmarked for Hungary are still awaiting transfer and could be permanently forfeited if the reforms are not approved in time. By comparison, other countries in the region have already used up around half of the recovery and resilience funds.
- **A flagging economy in need of a boost.** Péter Magyar's forthcoming government is counting on these resources to revive investment, which has been in sharp decline since 2022, and to support growth. It inherits a faltering economy (following several years of sluggish growth) which must also contend with the repercussions of the conflict in the Middle East. Inflation began to rise again in March (+1.8% y/y compared with 1.4% in February) and is expected to accelerate further in the coming months, although the government's cap on fuel prices and tax cuts should help to contain inflationary pressures.
- **The incoming government has pledged to consolidate public finances.** The release of European funds is expected to provide some relief for public finances. However, public spending is not expected to fall significantly in the short term under Péter Magyar's government. His priorities are healthcare, education and maintaining generous social welfare measures. In 2026, the budget deficit could remain close to 5% of GDP. The public debt-to-GDP ratio (74.6% in 2025) is the highest in Central Europe and is expected to rise further in the short term. This deterioration in public finances could act as a brake on the future government's ambitious economic programme. The government is expected to uphold its commitment to consolidating public finances in the medium term in order to comply with the fiscal rules set for 2030, in line with its election manifesto and with the aim of joining the eurozone. This commitment should help reduce investors' perception of sovereign risk and enable government bond yields (currently among the highest in Central Europe) to fall.

Maintaining the partnership with China

For several years, Hungary has successfully attracted foreign direct investment (inbound FDI: EUR6.8 billion, 3.2% of GDP in 2025), much of which is directed towards the automotive sector. The country is one of the main recipients of Chinese investment in the automotive sector in the region, and it is anticipated that China will continue to be a key partner for Hungary. The national strategy for electric mobility is not expected to change in the medium term. On the contrary, the war in the Middle East is likely to reinforce this strategic positioning. It should be noted that a Chinese BYD factory, focused on electric cars, is expected to become operational in 2026.

Normalisation of relations with the EU

Tisza's victory is likely to facilitate the normalisation of Hungary's relations with the EU and pave the way for the release of the EUR90 billion European loan intended for Ukraine, which Viktor Orbán's government had vetoed.

The dependence on Russian hydrocarbons is set to continue in the short term. Economic ties between Russia and Hungary are expected to remain strong in the short term, particularly in the energy sector. Currently, 80.3% of oil and 77.3% of gas comes from Russia. However, Peter Magyar's election manifesto aims to reduce dependence on Russian energy supplies by 2035. However, the ongoing conflict in the Middle East may prolong this transition.

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¹ The number of seats required for a supermajority is 133. By way of comparison, in 2022, Fidesz, Viktor Orbán's party, won a supermajority with 135 seats. The final results will be announced on Saturday.

² Election results as of 2:58 pm on 14 April, according to the National Election Office.

³ Transparency International's Corruption Perceptions Index ranks Hungary at the bottom of the table alongside Bulgaria.

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WORLD ECONOMY: HOW TO TAKE STOCK IN THE MIDST OF UNFOLDING CHAOS?

This week, Washington DC will host two gatherings that should be important in their own right, and yet are unlikely to be: one is the Spring Meetings of the International Monetary Fund (IMF) and World Bank (WB), which brings into town thousands of top finance and central banking officials as well as private sector delegates from the financial sector and civil society; the other is the peace negotiations between Israel and Lebanon. The former is traditionally an opportunity to take stock and send a combination of reassuring messages to markets and stern admonitions to policymakers. The latter could have been history-making just for taking place. Yet both are certain to be overshadowed by developments in the Persian Gulf and US-Iran talks. Unable to pin down the near-term outlook, delegates are likely to set their sight, more than usual, on longer-fused developments: inexorably rising public debt burdens, global economic governance in the post US-centric age, AI's economic and geopolitical impacts, and the implications of the rise of private markets and digital finance. Here are five key questions I will seek to get greater clarity on.

HOW RESILIENT WILL THE GLOBAL ECONOMY BE THIS TIME AROUND?

The 2026 Spring Meetings bring a weary sense of *déjà vu*. A year ago, they were haunted by the fallout from "Liberation Day", which turned out to inflict minimal, if any, damage to the global economy, contrary to consensus expectations at the 2025 Spring Meetings. Today, the ghost in the machine is the war in the Gulf—a crisis that has effectively tethered global growth to the whims of belligerents' attacks on energy infrastructure and restrictions on passage through the Strait of Hormuz.

We are witnessing a stagflationary shock that compounds with every day the world is going without the bulk of the 20 million barrels per day of crude oil and petroleum products it was getting from the Gulf prior to the war.

While some are more vulnerable than others, most economies - advanced and emerging alike - entered 2026 with a healthy growth momentum, broadly contained inflation, and manageable external imbalances. These will provide helpful buffers.

However, fiscal positions are generally weak and are likely to worsen. The IMF has already sounded the alarm about this. It will be interesting to see if governments listen.

HOW HAWKISHLY WILL CENTRAL BANKS RESPOND?

While the year started with expectations of multiple rate cuts from the Fed, the Bank of England and many EM central banks, and a long spell of neutral policy from the ECB, central bank rhetoric and market expectations alike have taken a hawkish turn.

Crucially, this is not a repeat of 2022. Central banks are starting from much higher interest rate levels, and do not face the ultra-tight labour markets and broad-based supply-demand imbalances of the post-pandemic era. The sharp increases already seen in fuel prices will slow down demand.

That said, central banks will be keen not to let inflation expectations get out of hand so soon after the last inflation shock. Monetary policymakers will be hard-pressed to explain how they process the incoming data flow to adjust their reaction strategy and balance growth and inflation risks in their respective economies.

HOW WILL THE APPARENT DISCONNECT BETWEEN FINANCIAL MARKETS AND THE REAL ECONOMY GET RESOLVED?

In recent weeks, there has been a striking dissonance between energy experts and economists on the one hand, and financial markets on the other.

The former have tended to stress that the energy price shock caused by the war is set to outlast military hostilities by at least several months, and possibly longer if more damage is inflicted to energy production infrastructure in the Gulf. All economies will face higher inflation and lower growth as a result, with the extent of the shock growing with every passing day without a resolution on the ground.

Meanwhile, stock markets have corrected only to a very modest extent, if at all (the NASDAQ closed up compared to the eve of the war on April 10) and full-year earnings expectations have generally not been revised down, at least for now. By contrast, sovereign bond markets have delivered large increases in long-term bond yields, reflecting less higher inflation expectations than growing fiscal risks. Dollar appreciation has been relatively muted, relative to previous energy price shocks.

Should the outlook for peace and oil markets normalization worsen, risk assets could reprice abruptly. Given the ongoing cracks that have been appearing in private markets since before the onset of the war, it is not hard to think of scenarios where financial markets abruptly take a turn for the worse, and these are certain to feature prominently in conversations throughout the week. What would central banks do then will be another question for attention.

WILL AI SAVE THE DAY AGAIN OR BRING FURTHER DOOM AND GLOOM, AND ARE THERE OTHER CREDIBLE LEVERS OF STRUCTURAL GROWTH?

The accelerated infrastructure buildup and deployment of AI was a key unsung hero of 2025, explaining a large part of the resilience of global trade and GDP growth in the US and many Asian countries that are key nodes in the global AI supply chain.

While most research to date on the impact of AI on either the labour market or productivity is inconclusive, even in the US, there is a raging debate, both in academia and among policymakers, as to the extent to which AI could deliver a structural boost to growth and hence help ameliorate fiscal challenges. There is also a growing focus on who will be the losers from the deployment of AI, and what strategies govern-



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ments can and should develop to maximise the gains and minimise the losses from this transformative technology.

In Europe, policymakers have a much broader agenda of structural reforms intended to boost growth in a structural way. Spring Meetings delegates will be keen to probe how far along Europe is in moving forward from agenda to execution.

WHAT WILL BE THE BROADER AND LONGER-TERM IMPLICATIONS OF THIS GULF WAR?

Global delegates to the IMF/WB Meetings are always keen to understand US politics in election years. They will be doubly so this year. The Gulf War and associated gasoline price increases have been deeply unpopular in the US, and the odds have been rising of Republicans losing not just the House but also the Senate in the November mid-term elections. It's too soon to tell, but not to start mapping out the implications of these scenarios.

On the global stage too, this war is likely to be consequential, with US antagonists like China, Russia and others likely to recalibrate their perceptions of the threat represented by the US, and US allies –in the Gulf and in NATO– rethinking the costs and benefits of the said alliance. Of course, the US President has vowed to rethink NATO involvement too.

The upcoming reset starts with geopolitics but is likely to extend to finance as well: will cross-border capital stocks and flows underpinned for decades by hard-wired geopolitical alliances remain as strong if these underpinnings weaken? At issue here is, yet again, the dominant role of the US dollar in the international financial system.

Lastly, many nations are likely to conclude from the war that they must intensify their efforts to diversify their energy sources away from imported oil and gas and accelerate their electrification efforts. This too will have financial and geopolitical implications.

There will be other issues in focus as well: what's next for US trade policy, and how quickly is digital ledger technology-based finance growing. Both important and interesting, but less likely than the others to be game changing over the next six months.

Unusually, the near-term fate of the global economy will be largely out of the hands of the top officials gathered in Washington this week. But by sharing their perspectives, heeding the analysis and advice of the multilateral institutions, and actively preparing for the world after the war, they are more likely to "do no harm", and guide both markets and their respective economies to a soft landing.

Isabelle Mateos y Lago



EcoFlash

Inflation in the Eurozone and France: the start of a rebound

Inflation in both the Eurozone and France is expected to return to levels not seen since the summer of 2024. In March, we forecast 2.6% y/y in the Eurozone (compared with 1.9% in February). In France, where inflation is starting from a much lower base (1.1% in February), it is expected to reach 1.7% y/y in March, rising to 2.1% in May. This rebound in inflation is attributable to the sharp increase in energy prices, which has not yet been passed on to core prices. Business surveys point to a rebound in input prices. However, they do not currently suggest an increase in selling prices in the second quarter, either in France or in the Eurozone. Nevertheless, a rebound in core inflation is expected from the second half of the year. This could prompt the ECB to begin monetary tightening from June (by a cumulative 75 basis points by the autumn, according to our forecasts).

Harmonised inflation in the Eurozone is expected to reach 2.6% y/y in March, according to our forecasts. This would represent a sharp rise compared with February (1.9% y/y). In monthly terms, the rise in consumer prices is expected to reach 1.4% m/m in March 2026, compared with 0.6% m/m in March 2025, a rise linked to the ongoing increase in fuel prices. The trend is expected to remain unchanged for other consumer items, which would represent a notable difference from March 2022. At that time, the inflationary spiral had already been underway since early 2021, and the Russian invasion of Ukraine had amplified it. Behind the 2.4% m/m rise in the CPI in March 2022, the jump in fuel prices had reached 19% m/m (a trend similar to that expected in March 2026). But food price inflation was also high and had already spread to the core rate (particularly goods prices). Nothing of the sort is expected in March 2026. Core inflation is, in fact, expected to remain stable at 2.4% y/y. All European countries are affected by the rise in Brent oil prices, as evidenced by the 0.8 percentage point acceleration in inflation in Germany (to 2.8% y/y) and in Spain (to 3.3% y/y) in March.

In France, similar trends are also expected. We forecast a rebound in harmonised inflation to 1.7% y/y (INSEE index at 1.6% y/y) compared with 1.1% in February (INSEE index at 1%). We estimate the rise in fuel prices at nearly 17% in March (similar to March 2022). However, inflation is lower in France than in the Eurozone. Furthermore, the rate of increase is expected to be lower than that seen in France in March 2022 (+1.6% m/m). However, with the recent rise in gas prices on the markets, the Energy Regulatory Commission has already indicated that the benchmark retail price for gas will rise by 15% in May, which, according to our forecasts, would push harmonised inflation in May above the 2% threshold (2.1% y/y). Core inflation (1.3% y/y in February), meanwhile, is expected to remain stable.

There is little risk of a rapid spillover to core inflation in the immediate term. The evolution of the conflict in Iran remains uncertain. However, surveys currently suggest that, excluding energy, price rises are likely to be limited until the end of the second quarter. In the Eurozone, the European Commission's survey indicates a balance of opinion on 3-month prices of +20 in industry (+6 m/m, but +57 in March 2022) and +20 in trade (+3 m/m, but +53 in March 2022). In France, the INSEE survey on the business climate in March suggests that the pass-through effect would first affect food prices, with a more limited risk for the time being than in 2022 (the balance of opinion on expected prices over the next three months stood at +8 in March 2026, compared with +42 in March 2022). Inflation on goods could also rebound slightly (balance of opinion at +9 in March 2026), but significantly less than in March 2022 (balance of opinion at +53), for reasons unrelated to the energy shock (rise in industrial input prices linked to increased production in defence, aerospace and AI).

The ECB is unlikely to be in a rush to act, but would do so swiftly if necessary. The course of the conflict in Iran will be decisive in determining whether hydrocarbon prices remain high for the long term. [We have drawn up various scenarios.](#) According to the most likely scenario at this stage, Brent would remain above USD 100/barrel until the end of Q2, with a prolonged blockade of the Strait of Hormuz and strikes on oil and gas facilities but without major damage (if the damage were to become more significant, the price of oil could rise well above the USD 100/b threshold). In this context, the rise in energy prices would continue. It would feed through more strongly to electricity prices (except in France, where the latter does not currently depend on gas prices) and would spread more rapidly to core inflation. Such an acceleration would likely force the ECB to tighten monetary conditions in the Eurozone, although the scale of the adjustment remains dependent on the uncertain evolution of the conflict in the Middle East, its impact on commodity and industrial goods prices, and second-round effects. Markets are currently pricing in three key rate hikes for 2026 of 25 basis points each: in June, July (as in our current scenario) and December (September in our scenario). The ECB will remain vigilant to ensure that tightening too late does not lead to an inflationary dynamic that is more difficult to reverse.

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EcoFlash

French public finances: a positive outcome for 2025 to be confirmed in 2026

According to INSEE, the French public deficit in 2025 improved by 0.7pp at 5.1% of GDP (the government targeted 5.4%). This improvement is due to the rebound in the rate of compulsory levies (CL). The public debt ratio is also below projections (115.6% versus 116.2%), although its increase in 2025 was as expected (+3pp). This evolution, along with the repercussions of the shock in Iran, particularly regarding interest rates, suggest to stick with fiscal consolidation efforts in 2026. The deficit is expected to benefit from a better starting point, the anticipated increase in the CL included in the 2026 budget, and the likely favourable impact on revenue from higher nominal growth in 2026. However, the government's leeway to support households and businesses in front of the inflationary shock is more constrained than in 2021–23. This support is therefore likely to be more limited this time around.

A relatively positive surprise in 2025. The public deficit was lower than expected in 2025, standing at 5.1% of GDP (compared with 5.4% according to the government's projections for 2025 and following 5.8% of GDP in 2024). The reduction in the deficit is due to the **rise in the CL – reaching 43.6% in 2025 compared with 42.8% in 2024** – linked to the tax increases included in the 2025 Finance Law. At the same time, public expenditure has risen to 57.2% of GDP, compared with 57% in 2024. The rise in some expenditure (interest payments, defence, policing, justice) has, in fact, offset the reductions, particularly in central government expenditure. **As for public debt, the surprise is also positive, with the figure standing at 115.6% of GDP in 2025** (compared with 115.9% according to the government's forecasts; 116.2% according to ours). However, this improvement stems mainly from an upward revision of nominal GDP in 2024 and 2025, resulting in a decrease in the debt ratio for 2024 to 112.6%, compared with the 113.2% previously estimated. However, the increase in the public debt ratio between 2024 and 2025 is +3pp (as we had anticipated; +2.7pp in the government's forecast).

Before the war in Iran, 2026 had got off to a promising start. The draft budget, which was approved in February, once again prioritize the increase of the CL to reduce the public deficit. We anticipate a further rise in the CL-to-GDP ratio, which is expected to converge towards its pre-Covid average (44.4%). Expenditure is also expected to rise due to the increases in defence spending, higher interest charges and contributions to the EU budget. **The war in the Middle East is expected to have an impact on public finance.** Based on the assumption that oil prices stabilise around \$100 per barrel during the 2nd quarter, followed by a relative decrease thereafter (with prices remaining approximately \$10 above pre-conflict levels by year-end), inflation is projected to increase by 1 pp in 2026, while real GDP growth is expected to fall by 0.3 pp. However, according to our calculations, public finances are more sensitive to changes in nominal growth, which is expected to be higher, than to real growth. Over the past fifteen years, an additional 1 pp of nominal growth has led to a nearly EUR 10 billion improvement in the deficit (0.3% of GDP). **Excluding support measures, the public deficit could therefore be reduced by nearly 0.2 percentage points of GDP. This would make it easier to meet the target of 5% of GDP, although this assessment is subject to significant uncertainties.**

Beware of complacency. A notable rise in inflation is expected. We estimate that fuel prices rose by nearly 17% in March, contributing an additional 0.6 percentage points to headline inflation. **The government has therefore announced its intention to implement support measures in response to the energy shock, which are expected to be more modest in scale than in 2022**, primarily due to limited flexibility in achieving the 5% public deficit target. For the time being, the energy shock is less widespread than it was from 2021 to 2023. Electricity prices are expected to remain stable, as gas is not required for its generation, unlike in 2022. The rise in gas prices is occurring at the end of winter, contrasting with the rise that took place just before winter in 2021. Furthermore, before the outbreak of the war in Iran, the French economy was not experiencing any inflationary pressures, with harmonised inflation recorded at 1.1% y/y in February, roughly its pre-Covid level. **The conflict in Iran has also resulted in a rise in interest rates to a level slightly higher than we had anticipated:** 3.87% for the 10-year OAT on 27 March, compared with 3.65% at the end of March according to our pre-conflict forecasts (so, about 20 basis points higher). Although a rise in interest rates has little immediate impact on the deficit and debt-to-GDP ratios due to the debt's long average maturity (8½ years), a sustained rise could require additional fiscal measures to bring the public deficit back down to 3% of GDP by the end of the decade. While the interest burden is projected to reach 2.5% of GDP in 2026 and 3.7% in 2030, according to our forecasts, a sustained increase of 100 basis points in all interest rates (significantly above current levels) would result in an additional 0.1pp of GDP in interest payments after one year (and 0.5pp after five years). It is therefore crucial for France to meet its budget deficit target and, as far as possible, refrain from using its potential leeway (lower public deficit in 2025, additional revenue in the event of a rebound in nominal growth in 2026). Demonstrating that the consolidation effort is continuing year after year would help to limit the widening of the spread with Germany.

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